

Solow Paradox Revisited

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AI everywhere except the statistics

PROFESSIONAL DEFINITION

The Solow Paradox is the observation that the computer age was 'everywhere except in the productivity statistics' — revisited today as AI investment outpaces measurable economic impact.

WHO DEVELOPED IT

Named for economist Robert Solow's 1987 remark; revisited by Brynjolfsson and others studying the AI era.

WHY IT WAS DEVELOPED

It was developed as a caution that visible technological adoption does not guarantee measured productivity gains, prompting investigation of why.

FIGURE 1 · SOLOW PARADOX REVISITED



Figure 1. A schematic of the Solow Paradox Revisited as applied in BARBM312 (illustrative).

HOW IT IS USED

Apparent AI ubiquity is contrasted with productivity data; explanations — mismeasurement, lags, redistribution, mismanagement — are tested.

WHEN IT IS USED

When reconciling enthusiastic AI adoption with flat productivity figures.

BY WHOM IT IS USED

Economists, strategists and policy-minded executives.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It frames a recurring puzzle that disciplines hype, pushing analysts to look for lags and complements rather than assume immediate gains.

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SOURCES (HARVARD REFERENCING STYLE)

Solow, R. (1987) 'We'd better watch out', New York Times Book Review, 12 July.

Brynjolfsson, E., Rock, D. and Syverson, C. (2019) 'Artificial intelligence and the modern productivity paradox', in The Economics of AI. Chicago: UCP.